

EQUITY MUTUAL FUNDS - NET PURCHASES

JANUARY 1980 - MARCH 1995

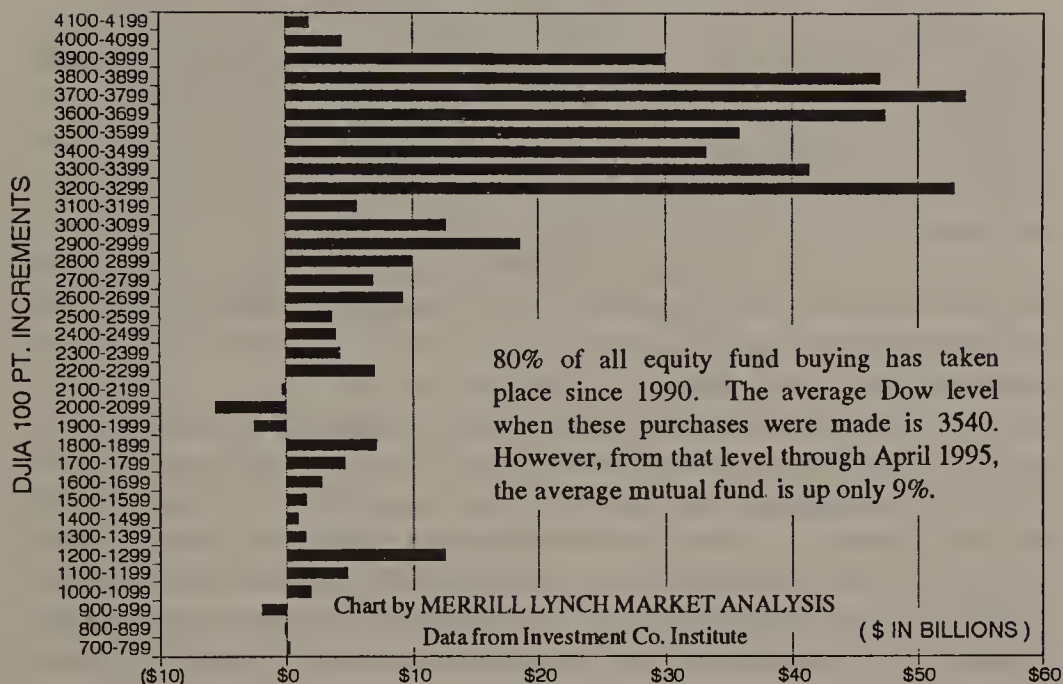


Figure 11-15

now. The book mentioned above projects past stock market performance indefinitely into the future and proclaims that stocks are the #1 choice for investment *now*. A professor interviewed by *USA Today* states that even investors as old as 65 should have 90% of their money in stocks *now*. After years of stock market gain, the study decrying market timing advises all of us to ignore market analysts and buy and hold U.S. stocks *now*. The grand irony is that the authors of these studies, who were nowhere to be found in 1980 or 1982, have waited throughout the bull market and have finally issued what amounts to "buy signals" to investors, *thereby assuming the role of market advisors*. Without realizing it, these professors are engaging in market timing. It is just terrible market timing. Let the rating services track these buy-and-hold "signals" *from the day they were issued*, and we will see how well they do.

When asked on one occasion what the stock market would do, Bernard Baruch replied, "It will fluctuate." Then, his answer was a smart aleck remark. Today the same sentence is apparently profound wisdom. Academics who tell us today how reasonable, indeed how *imperative*, stock market investment is today will be conducting studies a few years from now revealing how obviously irresponsible it was to own stock at all-time highs in 1995.